

Interest Rate Environment and Portfolio Positioning - January 2025

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Global Rate Environment

January 2025 opened with global bond markets reassessing the pace of central bank easing following stronger-than-expected US employment data. The Federal Reserve held rates steady at its January meeting and signalled only one cut in 2025 - down from three cuts priced by markets in December 2024. This hawkish pivot caused a sharp sell-off in US Treasuries with the 10-year yield rising 25bp to 4.65%.

In contrast, the Bank of Canada remains on a more aggressive easing path. With Canadian inflation at 2.1% (within the target band) and unemployment rising to 6.7%, the BoC has delivered 125bp in cuts since June 2024. The overnight rate now stands at 3.25% - still above neutral but heading there. The Canadian yield curve has steepened with the spread between 2-year and 10-year Government of Canada bonds widening to 45bp.

Equity Risk Premium

The divergence in US and Canadian rate trajectories has created an interesting equity risk premium dynamic. US equities are trading at 22x NTM earnings against a 10-year earnings yield of 4.5% - the equity risk premium relative to 10-year Treasuries has compressed to just 65bp, the tightest since 2002. This valuation stretch is less acute in Canada where the TSX trades at 14.5x NTM earnings against a 3.8% 10-year yield, implying an equity risk premium of 2.5%.

Portfolio Positioning Implications

Given the valuation divergence and differential rate outlooks, we are making the following tactical positioning adjustments for February: (1) Reduce US large-cap growth exposure modestly - trim NVDA position from overweight to benchmark weight; (2) Increase Canadian bank allocation - rate relief and improving mortgage renewal outlook create favourable catalyst; (3) Maintain long duration in fixed income - BoC trajectory supports Canadian bond outperformance versus US Treasuries; (4) Monitor CAD/USD as BoC-Fed policy divergence could pressure the Canadian dollar.

Key Events to Watch

- Federal Reserve meeting (March 19): Any change in 2025 dot plot will drive significant bond market repricing
- Bank of Canada meeting (March 12): Expected 25bp cut - any surprise hold would be negative for rate-sensitive sectors
- Canadian Q4 GDP release (February 28): Labour market and growth data will inform BoC's pace of easing
- NVIDIA Q4 earnings (February 26): AI infrastructure capex guidance from hyperscalers will set the tone for technology
- Canadian federal budget (March 25): Fiscal stance and deficit outlook will impact Government of Canada bond supply